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[22HSS13]

THIRD SEMESTER B.Tech EXAMINATION, DECEMBER - 2023

ECONOMICS FOR ENGINEERS

Time: 3 Hours **Maximum Marks: 100**

Instructions: i. Missing data may be suitably assumed.

ANSWER ALL QUESTIONS

		PART-A		**05 X02=10**	
1.	a.	What factors determine the elasticity of demand for a product?	L2	CO1	**02**
	b.	Define deadweight loss in the context of welfare analysis.	L1	CO2	**02**
	c.	Differentiate between Variable Cost and Fixed Cost.	L2	CO3	**02**
	d.	Define the consumption function in economics. What factors influence consumer spending?	L1	CO4	**02**
	e.	Differentiate between a product and a service. Provide examples of both tangible and intangible products.	L3	CO5	**02**
		PART-B		**06 X 05=30**	
2.	a.	Explain the significance of financial regulators in maintaining the stability of the monetary and financial system.	L2	CO1	**05**
		OR			
	b.	Discuss the law of demand, and how does it impact the quantity demanded of a good or service?	L2	CO1	**05**
3.	a.	Illustrate the consequences of a price ceiling being set below the equilibrium price.	L3	CO2	**05**
		OR			
	b.	Define a budget constraint and its role in consumer decision-making.	L1	CO2	**05**
4.	a.	Explain the concept of diminishing returns in the context of the production function.	L2	CO3	**05**
		OR			
	b.	Explain the relationship between total revenue, total cost, and profit.	L2	CO3	**05**
5.	a.	Describe the significance of Net National Product (NNP) in measuring a country's economic performance.	L2	CO4	**05**
		OR			
	b.	Explain the concept of demand for money. What factors influence the demand for money in an economy?	L2	CO4	**05**
6.	a.	Describe the role of innovation and technology in shaping the contemporary business landscape.	L2	CO5	**05**
		OR			
	b.	Illustrate the importance of accurate financial forecasting in business decision-making. What are some elementary techniques used in business forecasting?	L3	CO5	**05**

7.	a.	Discuss the impact of a decrease in imports on a country's domestic industries.	L2	CO4	05
		OR			
	b.	Explain the role of leadership in team management. How can a leader motivate team members and enhance their productivity?	L2	CO5	05
		PART-C		**6 X 10=60**	
8.	a.	Assess the role of central banks in the monetary system.	L5	CO1	10
		OR			
	b.	Define market equilibrium. What happens to prices and quantities when a market is in equilibrium?	L1	CO1	10
9.	a.	Describe a scenario where both consumers' and producers' surplus are maximized. What does this indicate about market efficiency?	L2	CO2	10
		OR			
	b.	Outline consumer's equilibrium using budget constraint and indifference curves.	L2	CO2	10
10.	a.	Explain how subsidies can affect both producers and consumers in a market.	L2	CO3	10
		OR			
	b.	Define intertemporal consumption and explain its significance in economics.	L1	CO3	10
11.	a.	What is Keynesian Multiplier? How is it calculated, and what does it represent in the context of fiscal policy?	L2	CO4	10
		OR			
	b.	Explain the concept of trade deficit. What are its implications for a country's economy?	L2	CO4	10
12.	a.	Explain the concept of a product life cycle. How can businesses adapt their strategies based on the different stages of a product's life cycle?	L2	CO5	10
		OR			
	b.	Discuss the significance of digital marketing in the modern business environment. How has digital marketing transformed traditional marketing practice?	L2	CO5	10
13.	a.	Describe the objectives of macroeconomic reforms in a country. Discuss a specific macroeconomic reform implemented by a country recently.	L2	CO3	10
		OR			
	b.	Define business cycles and explain the phases of a typical business cycle. How does the economy behave during expansion, peak, contraction, and trough?	L1	CO5	10